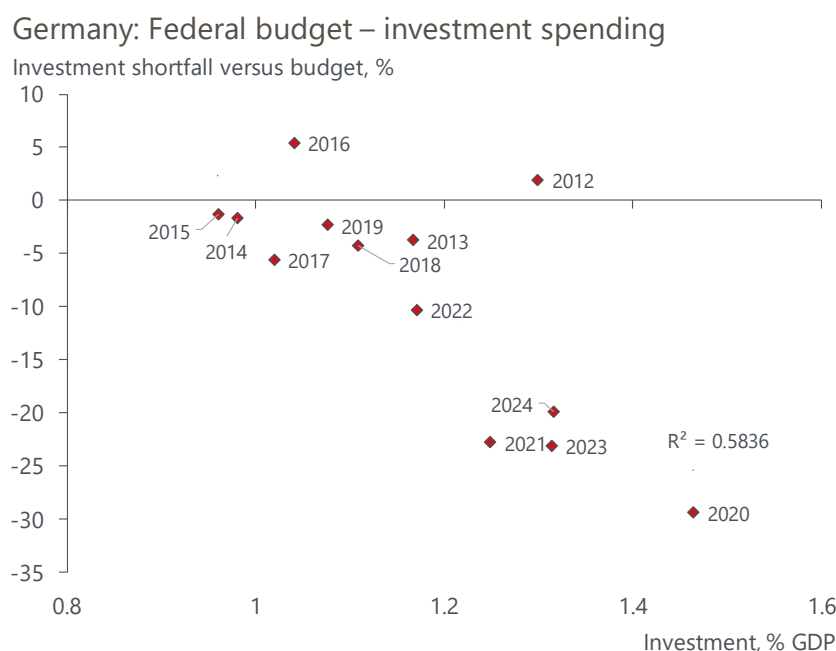


Research Briefing | Germany

How bottlenecks can delay the fiscal stimulus

- The German government has initiated an ambitious fiscal easing. But its investment-heavy nature, large scale, and focus on sectors that are already at capacity amid a tight labour market make delays likely. Past experience indicates that a 10% shortfall in the infrastructure and defence plans is feasible, which could decrease next year's GDP growth by as much as 0.4ppts.
- The federal government has tended to miss its spending targets over the past decade. The bigger the investment budget, the larger the misses have been. Shortfalls of as much as 30% since Covid likely overstate the risk. But even a smaller miss would be a marked drag on growth given plans to double investment and military procurement raising them to 4% of GDP in 2026.
- Past policy tightening created some spare capacity in the construction sector, so an initial, sharp rise in spending may be possible. But alternative indicators warn of underlying supply tightness, especially in sectors most targeted by stimulus. The slow planning processes won't help either.
- Industry's slump suggests spare capacity, but the defence-related areas have been booming for years and struggle to scale up quickly enough to meet the massive rise in demand. Spending may be delayed or go more towards imports initially, capping the early impact on GDP.
- The strongest headwind in the medium term for a structural ramp-up in investment-related spending is the tight labour market. Unemployment remains one of the lowest in Europe, surveys show that labour supply shortages remain significant despite marked falls in capacity utilisation, and attracting enough qualified immigrants to ease the shortage will be difficult.
- We aren't convinced that the government's planned and implemented measures to ease the bottlenecks will bear fruit quickly enough. Expected delays to the fiscal stimulus are one of the reasons for our GDP forecast to have a below-consensus pickup in growth next year. Conversely, we're above consensus for 2027 GDP, as the stimulus gains more traction and bottlenecks ease. Risks are that bottlenecks curtail spending longer than we assume.

Chart 1: Investment spending has fallen well short of budgeted plans in recent years



Sources: Oxford Economics, Haver Analytics, Deutscher Bundestag

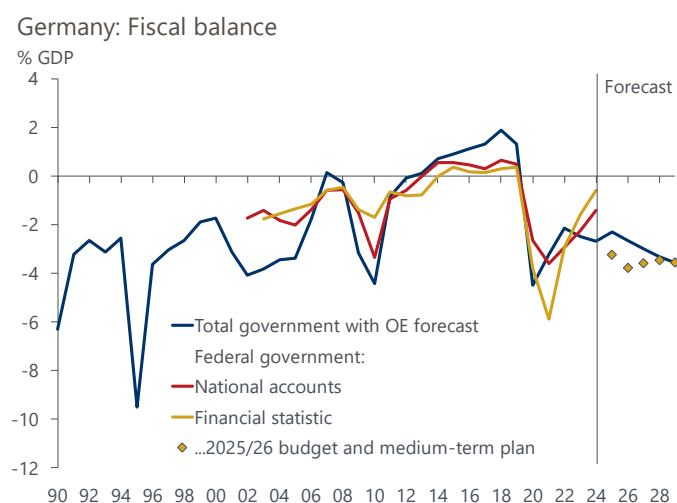
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Germany's fiscal deluge remains one of Europe's key macro topics. Our core premise remains that the planned large-scale fiscal easing will be a net positive for the economy, especially over the medium term, but that its implementation is likely to be slowed by administrative hurdles and sectoral bottlenecks. This is something we highlighted in our initial take on the incoming government's [plan](#), as well as in our [latest update](#) on the 2025 budget draft and the medium-term fiscal strategy. There has been nothing in the news flow over the past two months to alter our view, so this piece is mainly about exploring the risks to the delivery of fiscal easing.

Government has big plans to spend on infrastructure and defence

As a reminder, the government plans to massively ramp up spending in the coming years. The federal deficit could more than double, averaging close to 4% of GDP over the next four years (**Chart 2**). That's the largest and most sustained federal deficit by far outside of deep economic slumps, such as during Covid and the financial crisis. It's also a sharp turnaround from the fiscal consolidation plans of the last administration.

Chart 2: The government's fiscal plans show a sharp widening in the deficit

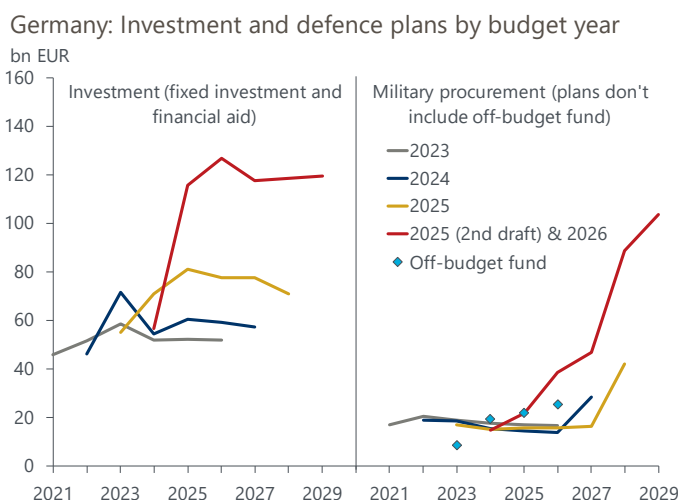


Sources: Oxford Economics, Haver Analytics

Moreover, there's a material shift in fiscal priorities. The government aims to consolidate spending outside of the two main priorities – investment and defence. The investment budget over the coming years has roughly doubled compared to two years ago, averaging around 2.5% of GDP (**Chart 3**). But this is a wide definition of investment, including government fixed investment, investment transfers to other levels of government, and even grants to firms. So, not all is fixed investment, which we're most interested in to gauge the risks of delays. However, the infrastructure splurge is expected to focus on fixed investment – transport, energy infrastructure, research and development, digitalisation, hospital investment, and fiscal incentives for new construction. On the defence side, the plans for military procurement out of the core budget have more than doubled reaching 2% of GDP by 2029, up from 0.8% last year, with the latter including outlays from the temporary off-budget fund.

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Chart 3: Investment and military procurement plans have been massively expanded



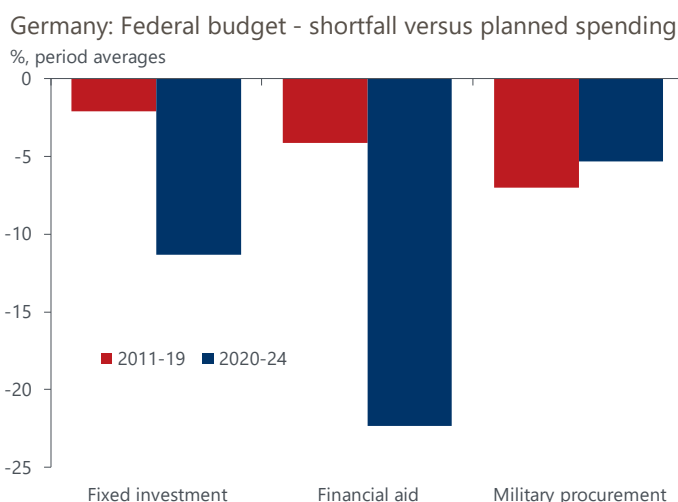
Sources: Oxford Economics, Haver Analytics, Deutscher Bundestag, Bundesfinanzministerium

Past governments struggled to spend the money as planned

It's the sudden, massive ramp-up in spending in these two areas that makes us worried about delays and cautious about fully incorporating the planned fiscal easing into our baseline. To quantify the risks, we looked at the draft budgets and medium-term fiscal plans that the government submits to parliament, starting with the budget for 2012, and then compared them with budget outcomes. In nearly all years, the government failed to fully spend the budgeted amounts, with the relative shortfalls growing as investment became a bigger budget priority (**Chart 1**). Since 2020, double-digit shortfalls have been the norm, reaching as high as 30%.

To be fair, draft budgets were not necessarily identical with final budgets, but we opted for the former as they include the medium-term plan for the subsequent four years. Moreover, some of the failures to spend budgets during the Covid years are likely misleading. The wide investment definition meant that unused bridge loans to corporates were likely counted, but a more granular approach corroborates the main takeaway. For fixed investment, shortfalls averaged more than 10% since 2020, and for military procurement, it was more than 5% (**Chart 4**). Given the planned scale and composition of the government's fiscal package, we think that a 10% shortfall over the coming years is plausible, with risks to the upside.

Chart 4: Spending shortfalls have been large across key fiscal priorities in recent years



Sources: Oxford Economics, Bundestag/Bundesrat

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Construction and industry will struggle to quickly ramp up capacity

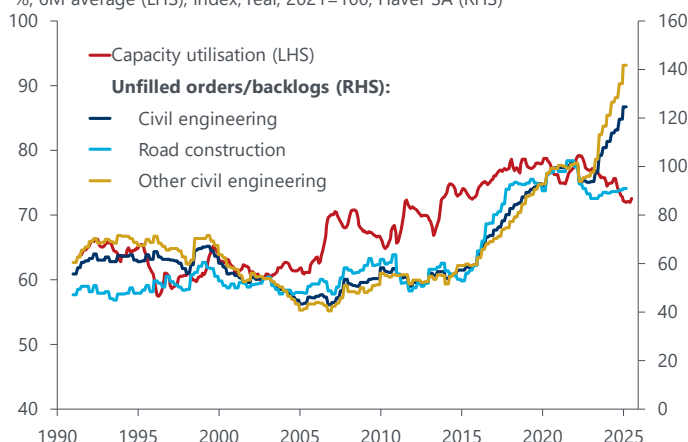
In the public debate, the focus is often on administrative hurdles such as the slow approval process for construction projects. However, while these are important, we think the bottlenecks in construction and industry will be the more binding and harder-to-overcome constraints. It's these two sectors that will need to do much of the heavy lifting to deliver on the government's plans.

Consider construction, where capacity utilisation has dropped around 10ppts to 70% due to European Central Bank policy tightening and Germany's growth weakness in recent years. That would suggest that an infusion of money should quickly boost activity without undue inflationary pressures. We think that is a valid argument for things like renovation of public buildings. However, much of the money will likely go towards more specialised areas such as civil engineering. Although capacity utilisation fell here, the stock of unfilled orders continued to soar (**Chart 5**), even as activity flatlined. That suggests there are other hurdles.

Chart 5: Capacity utilisation has moderated, but soaring backlogs point to binding bottlenecks

Germany: Civil engineering capacity utilisation and backlogs

%, 6M average (LHS), Index, real, 2021=100, Haver SA (RHS)

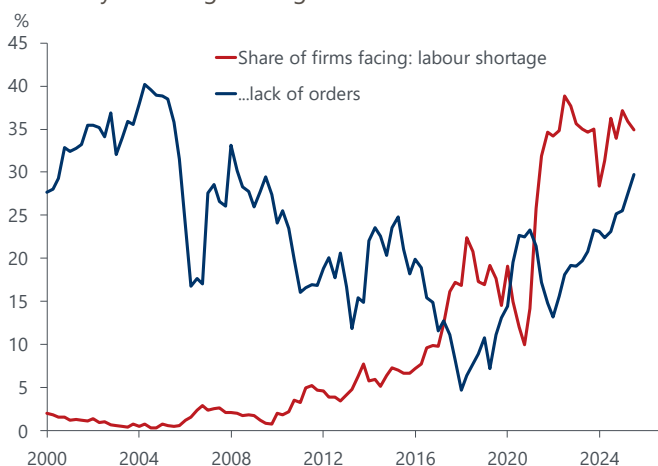


Sources: Oxford Economics, Haver Analytics

We suspect that constraints on the supply of workers with highly specialised skills is among them. Over a third of civil engineering firms complain about labour shortages, which is little changed from the recent peak, even as the share of firms lacking orders rose sharply (**Chart 6**). Typically, these series would move in opposing directions with easing labour shortages as demand weakness spreads.

Chart 6: Labour shortages haven't budged despite spreading demand weakness

Germany: Civil engineering



Sources: Oxford Economics, Haver Analytics, EU Commission

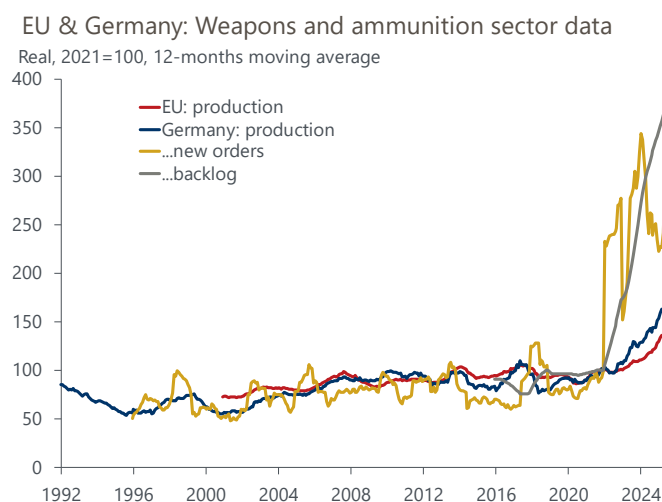
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Anecdotal evidence also underscores sectoral bottlenecks. The German state-owned train operator Deutsche Bahn embarked on a major investment spree last year, where it would shut down 40 key parts of the rail network to do wholesale renovations in one go instead of its previous piecemeal approach. This was supposed to deliver a significant upgrade to the rail network by 2030. But after only one year, the plan was completely revamped with a [new end-date](#) in 2035, citing a lack of capacity among construction firms, among other things. Upgrading the train network is a key part of the government's infrastructure splurge with [allocated funds](#) of more than EUR100bn.

Overall, we are quite sceptical that the government will be able to deliver on its infrastructure plans as quickly as it intends to. The bottlenecks look quite entrenched. In contrast, we are relatively less pessimistic in regard to the military procurement plans. There are bottlenecks, but they look easier to overcome.

Take the weapons and ammunition sector. Since Russia's invasion of Ukraine, orders have massively outpaced production leading to soaring backlogs ([Chart 7](#)), which are now worth some five years of output. However, in contrast to construction, production has responded. It's up some 75% on 2021 and has grown around 20% y/y in H1 this year. This is just a snapshot of the broader defence sector. As we explained in our [research](#) on the outlook for Europe's defence sector, while relevant official data is scarce, we think it's still a useful illustration of the industry's ability to scale up and it tallies with [other indications](#).

Chart 7: Production fell short of demand even before the planned spending spree



Sources: Oxford Economics, Haver Analytics

Admittedly, even these gains pale in comparison to the increase in demand from the German government and other nations. But the reportedly planned [mega order](#) from the German government later this year should provide greater clarity for firms' capacity planning, giving additional incentives to invest. It should also help trigger investment in new production processes for greater [economies of scale](#). After years of ailment, German industry has significant free resources in terms of machines, buildings, and workers that, at least, could partially be [redeployed](#) towards defence activities. This is part of the reason Rheinmetall, one of Europe's large defence contractors, is able to ramp up production comparatively quickly. Still, it is likely that the German and [European defence sector](#) will struggle to scale up rapidly enough.

Government measures against bottlenecks: Too little, too late

The government is well aware of the risks of implementation delays. The coalition deal includes a long list of measures to ease planning laws as well as simplify and accelerate military procurement processes. All of this sounds sensible. However, a few of the measures directly address the supply tightness in construction and industry. Simplifying construction standards and introducing a new simpler building type can reduce the man hours needed to finish a building, possibly freeing up resources for infrastructure work. Less admin work to comply with overcomplicated regulation can free up managerial resources in firms better used elsewhere. But the main benefit from the planned measures is likely that firms' order books are filled more quickly, providing greater clarity for long-term capacity planning and hiring decisions.

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This raises the last and likely the main medium-term constraints for the government's plans. Despite some softening, German labour remains one of the tightest in Europe with well-above-average participation rates and well-below-average unemployment. With inward migration slowing, our baseline assumes that labour supply has peaked and will shrink. In any case, many of the jobs tied to the infrastructure and defence spending require qualified workers. Immigration is also no panacea. We already assume strong, continuous inflows, but gains will be hard to attain as living standards in traditional origin countries for migrants, such as Eastern Europe, have strongly caught up, while migrants from further afield will likely lack the required qualifications. So, firms will struggle to find enough workers.

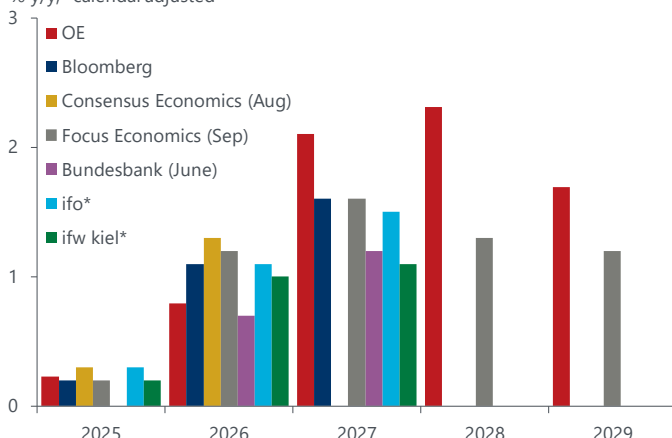
Cyclical rebound to disappoint, and downside risks prevail in the medium term

Overall, we think there is convincing evidence to support our below-consensus call on German GDP growth next year. The rollout of the government's plans is likely to be slower than intended. If anything, we worry that even the balance of risks to our assumptions on the infrastructure and defence side may be on the downside, although there are other [upside risks](#) that balance that out. But as firms gear up, we see scope for a strong and above-consensus gain in activity in 2027 (**Chart 8**). So, we mostly disagree on timing in the near term. It's likely that this pattern is not only due to assumptions on fiscal stimulus but also reflects our house view of trade-related policy uncertainty remaining a significant drag on investment into next year.

Chart 8: Below consensus on German GDP growth in 2026, but above it thereafter

Germany: GDP forecast compared to consensus

% y/y, *calendaradjusted



Sources: Oxford Economics, Bundesbank, Focus Economics, Consensus Economics, ifo, ifw

However, the bigger question is how the economy will cope with the scale and sustained nature of the spending spree over the medium term. Our baseline sees several years of growth exceeding the economy's potential. This reflects our assumption that there is little spare capacity to absorb and that firms will redeploy underutilized resources to the booming areas, say from automotive to defence. We also think that the relative capital-intensive nature of the government's new fiscal priorities helps to alleviate worries about labour supply a little. So, while we [expect](#) inflation to overshoot 2%, we don't expect a period of runaway inflation. But there are nonnegligible risks that this proves too optimistic. This could see a more inflationary outcome and less real growth than we assume.